Popular or People's Power. Cubans voted for municipal assemblies with a significant degree of control over local affairs. Municipal delegates then elected delegates to the provincial and National Assemblies.

Closer ties with the socialist bloc were accompanied by closer ties to the capitalist world as well. Not the United States, which maintained its economic blockade of the island. But Cuba joined the International Sugar Organization and the Latin American and Caribbean Sugar Exporters' Association, and sold a good portion of its sugar to Western countries: 41 percent in 1974. Towards the end of the 1970s the government began to encourage foreign investment from the capitalist countries. As Eckstein explains, "sectors opened to foreign investors included tourism, light industry, medical equipment, medicine, construction, and agro-industry. Investors were promised tax-free use of land, tax exemptions on imported materials, and free repatriation of profits." In 1982 Cuba passed a foreign investment code to guarantee the rights of investors. Eckstein argued that the opening to the West was initially a more significant factor in the economic upturn of the 1970s than was Cuba's integration into the Soviet bloc. Falling sugar prices towards the end of the 1970s, though, made Cuba more dependent on its relationship with the Soviets.[22]

Sugar exports and Soviet credit – and petroleum imports – also helped to finance industrial growth. The sugar industry was increasingly mechanized. Cuba increased production of machinery as well as of consumer goods. Cuban factories produced farm machinery, fertilizers, and pesticides, as well as ships and processing facilities for the fishing industry, and machinery and infrastructure for nickel mining.

High sugar prices during the early 1970s contributed to the government's ability to carry out its social goals. Significant investments in health and education, in rural electrification, and in cultural institutions meant that the population in general had a high degree of access to both material and cultural goods. Cuba's nascent foreign aid programs, begun in the 1960s, also mushroomed in the 1970s, as the island sent large numbers of teachers, doctors, and construction workers abroad on aid missions, and lent military support to liberation movements in Angola and elsewhere in Africa.